EXECUTIVE SUMMARY

Zambia: Macroeconomic Recovery Analysis (2015–2025, with Q1 2026 update)

Central question: *Was Zambia's post-2020 economic recovery driven by the copper price super-cycle, the 2023 debt restructuring deal, or both - and which mattered more?*

THE VERDICT

Copper triggered Zambia's recovery. The 2023 debt deal sustained it.

Neither force alone explains the turnaround. Copper created the fiscal breathing room (2020-22); the Common Framework restructuring converted that window into a durable institutional framework.

Where Zambia stands today - March 2026

INFLATION (CPI)	POLICY RATE	ZMW / USD
7.1%	**13.25%**	**K19.02**
Within Boz 6–8% target band	*Cut 3 consecutive times*	*Kwacha appreciated ~33% YoY*

Source: Bank of Zambia & Zambia Statistics Agency, March-April 2026 releases.

The recovery in four phases (2015–2024)

2015–19	**Nov 2020**	**2021–22**	**Nov 2023–24**
Debt spiral	COVID default	Copper boom + IMF	Restructuring finalised

1. Overview

This report evaluates Zambia's macro-fiscal transition from 2015 to 2025, focusing on whether the post-2020 recovery was driven by the copper price super-cycle or the 2023 G20 Common Framework debt restructuring deal. The analysis covers monetary indicators, external trade, debt sustainability, and industrial composition. Current-state indicators through Q1 2026 are included as a post-study update.

Core finding: Neither copper nor the debt restructuring alone explains the recovery. Copper created the fiscal breathing room between 2020 and 2022; restructuring converted that window into a durable institutional framework.

2. Key insights & analysis

- **Debt trajectory:** Total external debt peaked near $29.1B in 2023 (111% of GNI). The G20 Common Framework restructured $6.3B in bilateral debt (November 2023), and Eurobond holders completed restructuring of $3B in June 2024 with $840M in claims foregone. The IMF now assesses Zambia's debt as sustainable but at high risk of distress.
- **PPG debt service collapse:** Public and Publicly Guaranteed debt service fell from 12.5% of exports (2019) to 3% (2023) post-deal. Total debt service -which includes commercial creditors not yet restructured - rose again to 30%+ of exports in 2024, reflecting residual exposures.
- **Copper as the opportunity window:** Global copper prices rose from ~$5K/mt (mid-2016s) to a peak of $9.3K/mt in 2021. Zambia's current account swung from -3.6% of GDP (2015) to +11.9% (2021), and export earnings rose from $6.5B to $11.7B - driven almost entirely by ores and metals.
- **Mineral rents windfall:** Mineral rents jumped from 3% to approximately 28% of GDP during the super-cycle (2020–21), the largest such windfall in Zambia's recent history.

- **Investor confidence - FDI surge:** FDI net inflows rose to 9.32% of GDP in 2024, in the same year as the finalisation of the Eurobond restructuring. This is the clearest evidence that fiscal clarity, not commodity luck alone, drives investor confidence.
- **Monetary conditions (Q1 2026):** Inflation has decelerated to 7.1% in March 2026 (and 6.8% in April), the lowest readings since 2018, with the Bank of Zambia cutting its Policy Rate three consecutive times to 13.25%. The Kwacha has appreciated ~33% over the previous 12 months.
- **COVID-19 impact (2020):** GDP contracted by -2.8% in 2020 due to pandemic lockdowns and the subsequent Eurobond default - the first African sovereign default of the pandemic era - which deteriorated investor confidence.
- **Drought impact (2023–24):** Zambia battled its worst drought in decades, suppressing agricultural output and pushing inflation to a 2024 peak of ~15%. The structural vulnerability of an economy reliant on hydropower and rain-fed agriculture is significant. Bumper 2026 harvest expectations have since anchored inflation back to target.

3. Debt restructuring - what the data shows

Case: Copper front-loaded the recovery

- Current account swung from -3.6% to +11.9% of GDP (2015-2021), matching the copper price rally
- Mineral rents jumped from 3% to ~28% of GDP during 2020-21
- Export revenues rose from $6.5B to $11.7B, almost entirely from ores & metals
- Forex reserves began rebuilding before restructuring was complete
- GDP growth of 6.2% in 2021 preceded the formal restructuring deal by 2 years

Case: Restructuring locked in sustainability

- PPG debt service fell from 12.5% to 3% of exports post-deal (2019-2023)
- Eurobond restructuring completed June 2024 ($3B + $840M forgone)
- GDP growth of 5.2-5.4% persisted in 2022-23 even as copper prices cooled - structural reform is supporting growth
- FDI surged to 9.32% of GDP in 2024 - a forward-looking confidence signal
- Inflation now in Boz 6-8% target band (Q1 2026); rates being cut for first time in years

Verdict: *Both factors were necessary and neither was sufficient alone. Copper created the opportunity window; debt restructuring converted it into a durable institutional framework that has continued to deepen through Q1 2026.*

4. Strategic recommendations

- **01 Diversify exports beyond copper.** Support policies that scale non-traditional exports to shield the Kwacha from copper price volatility. Exchange rate stability requires reducing the dominant share of mineral exports in total export earnings.
- **02 Accelerate industrial value addition.** Transition from raw ore exports to local copper processing and refining. Capturing higher margins within the industrial sector creates domestic employment and reduces commodity revenue volatility.
- **03 Agriculture as a fiscal hedge.** Strategic investment in climate-resilient farming would act as a fiscal hedge against mining sector shocks and reduce vulnerability to droughts of the kind seen in 2023-24.
- **04 Complete commercial debt negotiations.** Residual commercial creditors (notably Chinese state-owned banks) still need treatment consistent with comparability of treatment principles. Completing this will close the loop on the restructuring.
- **05 Maintain monetary discipline through rate normalisation.** With inflation back in target, the gradual Policy Rate reduction underway should continue cautiously, anchored on inflation expectations and exchange rate stability.

5. Forward-looking risks

- **Commercial debt residual.** While Eurobonds have been restructured, some commercial debt (notably to Chinese banks) is still being negotiated. Total debt service remained at 30%+ of exports in 2024.
- **Climate exposure.** Zambia's reliance on hydropower and rain-fed agriculture means a single bad rainy season can reverse fiscal and inflation gains, as the 2024 episode demonstrated.
- **Copper price volatility.** The recovery depends heavily on sustained copper prices. A return to price levels (~$4-5K/mt, as in 2016) would significantly weaken the external balance and fiscal position.
- **IMF programme renewal.** The current IMF Extended Credit Facility (ECF, approved 2022) underpins the post-restructuring fiscal framework. Renewal or transition to a successor arrangement carries the risk of more conservative conditions or financing uncertainty.

6. Outlook: 2026 scenarios

The 2026 outlook is shaped by three broad scenarios. The base case anticipates continued normalisation, with moderate copper prices, ongoing IMF programme compliance, and steady agricultural recovery. An upside scenario would see copper prices sustained near or above $9K/mt, FDI flows remaining elevated, and inflation anchored within target. A downside scenario would involve a commodity price reversal, renewed drought, or fiscal slippage on restructuring conditions, any of which could reverse the post-2023 fiscal gains.

Quantitative projections are not provided here; current data suggests the base case is most likely, given Q1 2026 indicators (inflation 7.1%, rates 13.25%, Kwacha appreciation of ~33% YoY).

7. Limitations

- The analytical window is 2015–2025; Q1 2026 indicators are provided as a post-study update for current context, not as part of the formal analysis.
- The analysis does not isolate the specific impact of climate-induced energy deficits on industrial consumption.
- External factors such as shifts in global demand for green metals (EV transition copper demand) remain a variable not fully accounted for in the current view.
- The dataset prioritised the most economically significant indicators; additional social and governance variables may modify conclusions.

Data sources: World Bank World Development Indicators; IMF World Economic Outlook & Country Reports; Bank of Zambia monetary statistics; Zambia Statistics Agency; Ministry of Finance and National Planning. Analysis covers 2015–2025; current indicators reflect March–April 2026 Boz releases.